

The HBL Story

HBL

“Enter only Niche markets, which are (at that time) too small for big companies and too difficult for small companies”

– AJ Prasad, Chairman HBL Engineering.

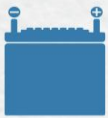


What Does HBL Do?

HBL organizes engineering talent, to identify technology gaps in India it can fill, to manufacture engineering intensive products, to grow profitably.

FOUR BUSINESS SEGMENTS

In the last 40 years, HBL has filled multiple technology gaps. The resulting businesses fall into four very different Business Segments. The common factor has been using engineering for technology development. Perspectives on each segment are highlighted further below.



- Industrial Nickel Batteries, in which we are globally competitive (#2 globally) and exports are around 40% of total sales
- VRLA (Lead) Batteries, where we are #3 in India
- PLT (Lead) Batteries, where we are the only manufacturer in India
- Lithium Batteries (Vande Bharat trains, Energy Storage Systems etc.)



Defence businesses. Batteries for Aircraft, Missiles, Torpedoes, Submarines. Electronic Artillery Fuzes and other defence electronics



Electronic rail signalling (Kavach, Electronic interlock, Train Management Systems, Centralised Train Control Systems)



Electric Drive trains (motors, electronics and batteries) for heavy electric trucks

While HBL is a market leader in the segments that it operates in like Batteries (Nikel Cadmium, VRLA & PLT) for Industrial and Defense applications and is also a major supplier to Defense with electronic fuses, what piqued our interest is their involvement in the Railway

KAVACH PROGRAM.



What is Kavach?

- **KAVACH** is the pseudonym for **Train Collision Avoidance system (TCAS)**. Indian Railways' indigenous **Automatic Train Protection (ATP)** that enforces speed limits, and auto-brakes to avert collisions; latest spec **KAVACH 4.0** was approved after extensive trials.
- KAVCH system is implemented for Locomotives, Stations and Tracks.
- **Scope/coverage plan:** The broader program aims to extend ATP to about **44,000 route-km** over **~five years** (announced 2024), covering India's busiest routes and 10000 locomotives.
- **Budget & unit costs :** **Approx ₹50 lakh per route-km (trackside) and ₹80 lakh per locomotive.**
- **Presently bids are invited for 6980 Kms, 2425 locomotives , 758 stations and 460 level crossings.**

Only 3 players are presently approved for KAVACH program with 2 more in the approval pipeline.

HBL was the 1st OEM to get KAVACH version 4.0 certification and has received the maximum orders so far worth c. **4000 cr.**



HBL has been consistently getting orders for KAVACH. Please find a snap shot of the orders won by HBL till May with implementation time line.

Date	Order value (Rs.Cr.)	Order value (exclusive of GST)	Time for completion
01-May-25	145.8	119.6	~24 months
31-Mar-25	762.6	625.3	18 months
28-Mar-25	244.7	200.6	~24 months
28-Mar-25	255.0	209.1	~23 months
04-Mar-25	148.4	121.7	18 months
01-Feb-25	410.2	336.4	~24 months
14-Dec-24	1856.6	1522.4	12 months
Total orders recd.	3823.3	3135.1	

Financial Model

Year	2023	2024	2025	2027 (P)	% Growth
Sales	1369	2233	1967	3500	178
Expenses	1217	1810	1574	2500	
Operating Profit	151	423	393	1000	255
Profit before tax	130	377	374	900	241
Tax	31	96	97	225	
Net profit	99	281	277	675	244
EPS	4	10	10	24.0	240

It is evident that even conservatively the profits should grow 2.5 time in next 2 years.

Conclusion

HBL Engineering is a company with several years of legacy, run by honest and technocrat management with a clear vision and right to win. While we see that they have struck gold with the KAVACH program, what lies beneath is years of perseverance and hard work. In fact HBL started the work for KAVACH program in 2005 !!. HBL by no means is a 1 trick pony. It has several other optionality's like Electronic Fuses for Armed forces, EV Trucks and Train Management Systems (TMS) among others.

P.S: HBL Annual report is a joy to read. Would urge everyone to take a look

Disclosure: Moat Financial Services has positions in its client accounts in HBL Engineering acquired at lower levels.



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